

Microsoft Corporation (MSFT)

Discounted Cash Flow Valuation

A Fundamental Valuation Analysis, FY2027–FY2031

Valuation Date: June 30, 2026

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Primary Source: Microsoft FY2026 Form 10-K (SEC EDGAR)

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Executive Summary

This report presents a discounted cash flow (DCF) valuation of Microsoft Corporation (NASDAQ: MSFT), built entirely from figures disclosed in Microsoft's FY2026 Form 10-K, current market data, and publicly available macroeconomic sources. The model forecasts unlevered free cash flow across a five-year explicit period (FY2027–FY2031), discounts those cash flows and a terminal value back to a June 30, 2026 valuation date using a weighted average cost of capital of 9.49%, and arrives at an implied intrinsic value per share.

The model's central case produces an implied share price of \$293.08, compared to Microsoft's actual closing price of \$373.02 as at the valuation date — suggesting the market is pricing in meaningfully more value than a conservative, guidance-anchored DCF captures. This gap is best explained by the aggressive AI infrastructure buildout currently underway: near-term free cash flow is materially compressed by capital expenditure running ahead of depreciation, while the market appears to be pricing in longer-run monetization of that investment that a five-year explicit forecast window does not fully capture.

The analysis places particular emphasis on distinguishing genuine operating trends from one-off, non-recurring items across every major line item — cost of revenue, tax rate, depreciation, capital expenditure, and net working capital — an approach detailed further in the Methodology and Analysis sections below.

Business Overview

Microsoft Corporation develops, licenses, and supports a wide range of software, services, devices, and solutions worldwide, organized into three reportable segments: Productivity and Business Processes (Office, LinkedIn, Dynamics), Intelligent Cloud (Azure, server products, enterprise services), and More Personal Computing (Windows, devices, gaming, search advertising). Intelligent Cloud, driven primarily by Azure, has become the company's fastest-growing and most strategically significant segment amid the broader industry shift toward cloud computing and artificial intelligence infrastructure.

FY2026 Financial Snapshot

Metric (\$mm)	FY2024	FY2025	FY2026
Revenue	245,122	281,724	331,839
Operating Profit	109,433	128,528	155,237
Net Income	88,136	101,832	133,749
Capital Expenditure	44,477	64,551	115,948

Source: Microsoft FY2026 Form 10-K, Consolidated Income Statements and Cash Flow Statements.

Two developments define Microsoft's current financial profile and are central to this valuation. First, the company is undergoing an unprecedented capital expenditure ramp — capex more than doubled from FY2025 to FY2026 to \$115.9 billion, with management guiding to approximately \$175 billion for FY2027 — driven by datacenter and AI infrastructure buildout to support Azure and Copilot demand. Second, Microsoft's effective tax rate reversed its multi-year downward trend in FY2026, rising from 17.6% to 19.4%, a shift the 10-K attributes to a growing share of pre-tax income being earned in the United States rather than lower-taxed foreign jurisdictions — itself plausibly linked to the geography of the ongoing infrastructure investment.

Microsoft's financing structure has also evolved: finance lease liabilities used to fund datacenter capacity (\$66.6 billion as at FY2026) now exceed the company's traditional long-term bond debt (\$40.3 billion book value), a structural shift with direct implications for the cost of capital used in this valuation.

Methodology

This valuation follows a standard unlevered free cash flow DCF framework: revenue and operating expenses are forecast line-by-line for five years, converted to unlevered free cash flow, discounted at a blended weighted average cost of capital, and combined with a Gordon Growth terminal value to arrive at enterprise value, which is then bridged to an implied equity value per share.

Forecast Structure

- Revenue is forecast using a growth-rate approach anchored to company guidance for the nearest quarter, tapering over the explicit period as segment mix and capacity constraints normalize.
- Operating expense lines (cost of revenue, R&D, S&M, G&A) are each modeled with an independently justified method — percentage of revenue where a stable structural relationship exists, or a dollar growth rate tied to inflation where the expense is judged not to scale proportionally with revenue.
- Capital expenditure is anchored to disclosed company guidance for the nearest forecast year, with subsequent years modeled as a declining but still-elevated percentage of revenue.
- Depreciation and amortization is derived from a full property, plant & equipment roll-forward (opening balance plus capex less depreciation) rather than a simple percentage-of-revenue assumption, using a useful life back-solved from the 10-K's own disclosed depreciation expense and cross-checked against Microsoft's disclosed useful-life policy ranges.
- Net working capital is forecast as a percentage of revenue, adjusted to exclude a one-off, non-recurring balance sheet item identified in the FY2026 10-K's supplementary notes.

Discount Rate and Terminal Value

The discount rate is a full weighted average cost of capital, blending three distinct capital sources: ordinary equity (via the Capital Asset Pricing Model), traditional long-term debt (blended from the effective interest rate disclosed for each individual bond issuance), and finance lease liabilities (using the rate disclosed directly in the leases note) — reflecting Microsoft's actual, disclosed capital structure rather than a simplified debt-only treatment. All cash flows, including the terminal value, are discounted using the mid-year convention, which better approximates the continuous nature of cash generation throughout each fiscal year rather than assuming a single year-end lump sum. The terminal growth rate is set at the sum of the Federal Reserve's longer-run real GDP growth projection and its longer-run PCE inflation target, reflecting a nominal, steady-state growth assumption consistent with the nominal basis of the underlying cash flow forecasts.

Data Sources

- Microsoft FY2026 Form 10-K (SEC EDGAR) — primary source for all historical financials, segment disclosures, debt and lease terms, and tax rate detail.
- Company guidance disclosed in FY2026 Q4 and FY2027 Q1 earnings materials — used to anchor near-term revenue growth and capital expenditure.
- Yahoo Finance — share price, shares outstanding, and beta.
- Aswath Damodaran (NYU Stern) — equity risk premium.
- U.S. Federal Reserve, Summary of Economic Projections (June 2026) — longer-run real GDP growth and inflation projections used for the terminal growth rate.

Analysis

Free Cash Flow Build

The forecast free cash flow trajectory reflects the interaction of two offsetting forces: an aggressive, guidance-anchored capital expenditure ramp that depresses near-term cash flow, and a growing revenue and NOPAT base that progressively outpaces it. Free cash flow troughs in FY2027 as guided capex (\$175 billion) outpaces the still-building depreciation base, before recovering sharply as the growth rate of capex decelerates relative to the compounding revenue base.

(\$mm)	FY2027E	FY2028E	FY2029E	FY2030E	FY2031E
Revenue	391,570	450,306	506,594	559,786	610,167
NOPAT	151,122	176,227	200,268	223,419	245,210
Capital Expenditure	(175,000)	(189,128)	(204,157)	(217,197)	(230,643)
Unlevered Free Cash Flow	35,574	68,276	96,384	124,762	150,466

Figures per the accompanying DCF model. Capital expenditure for FY2027 reflects disclosed company guidance of approximately \$175 billion.

Cost of Capital

The blended weighted average cost of capital of 9.49% is overwhelmingly driven by the cost of equity (9.71%), reflecting Microsoft's capital structure being approximately 96% equity-financed by market value. Debt and finance leases, while individually meaningful in absolute terms (\$36.5 billion and \$66.6 billion in fair/market value respectively), together represent under 4% of total capital, limiting their influence on the blended rate despite finance leases carrying a higher pre-tax cost (4.50%) than traditional bond debt (3.85% blended).

Capital Source	Market Value (\$mm)	Weight	Cost (After-Tax)
Ordinary Equity	2,770,420	96.41%	9.71%
Long-Term Debt	36,500	1.27%	3.04%
Finance Leases	66,594	2.32%	3.56%

Weighted Average Cost of Capital: 9.49%. Equity market value based on 7,427 million shares outstanding at a \$373.02 closing price as at the valuation date.

Valuation Summary

Metric	Value
Sum of PV of Explicit FCF (FY27–FY31)	\$361,373mm
Terminal Value (undiscounted)	\$2,852,890mm
PV of Terminal Value	\$1,897,524mm
Enterprise Value	\$2,258,896mm
Less: Net Debt	(\$82,159mm)
Equity Value	\$2,176,737mm
Shares Outstanding	7,427mm
Implied Share Price	\$293.08
Actual Share Price (6/30/26)	\$373.02
Implied vs. Actual	–21.4%

Sensitivity Analysis

Given that the terminal value represents approximately 84% of total enterprise value, the implied share price is highly sensitive to the two assumptions governing it: the discount rate and the terminal growth rate. A two-way sensitivity table was constructed by flexing WACC from 7.49% to 11.49% and terminal growth from 3.0% to 5.0% in increments around the central case, holding all other model inputs fixed.

WACC \ Terminal g	3.0%	3.5%	4.0%	4.5%	5.0%
7.49%	\$492	\$558	\$644	\$761	\$928
8.49%	\$351	\$384	\$424	\$473	\$536
9.49% (base)	\$266	\$286	\$309	\$337	\$372
10.49%	\$210	\$222	\$236	\$252	\$271
11.49%	\$171	\$179	\$188	\$198	\$210

Implied share price (\$) across WACC and terminal growth combinations. Even at the most favorable combination tested, the implied price remains sensitive to assumptions that are, by nature, forward-looking judgment calls rather than observable facts.

Conclusion

This DCF model implies an intrinsic value of approximately \$293 per share for Microsoft, roughly 21% below its actual market price as at the valuation date. Rather than interpreting this gap as a simple signal that the stock is overvalued, it is more accurately read as a quantification of how much additional value the market is currently attributing to Microsoft's AI and cloud infrastructure investment beyond what a conservative, guidance-anchored five-year explicit forecast can capture. The market's higher valuation is consistent with an expectation that current capital expenditure converts into durable, high-margin revenue growth over a longer horizon than this model's explicit forecast window, or that the terminal growth and margin assumptions embedded in the market's pricing are more optimistic than the nominal-GDP-based assumption used here.

Several limitations are worth stating explicitly. The model relies on a single point estimate for each assumption, when in reality every input — revenue growth, the pace of margin normalization, the useful life of newly capitalized AI infrastructure, and the long-run tax rate, among others — carries genuine, quantifiable uncertainty that a single deterministic model cannot represent. The sensitivity table above illustrates how significantly the output moves within a plausible assumption range and underscores that the \$293 figure should be read as one point within a wide distribution of reasonable outcomes rather than a precise, standalone answer.